

Strategic Case Study

Predicted Paper 4 - Suggested Answers

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Question 1(a) - Impact of inflation shock and revised customer packages (14 marks)

The current macroeconomic shock affects KMCH at the core of its business model. KMCH is a premium car-hire and mobility provider whose service promise depends on reliable vehicles, timely handover, trained drivers and transparent billing. Rising fuel prices, spare parts inflation, maintenance cost pressure and higher insurance costs therefore cannot be treated only as accounting cost increases; they affect pricing, customer behaviour, operational reliability and competitive position.

Impact on business model and margins

- **Margin compression:** Revenue has increased, but cost inflation is rising faster than price recovery. Fuel, repairs, tyres and insurance are variable or semi-variable costs directly linked to fleet usage. Unless prices and contracts are redesigned, higher utilisation may not translate into higher profit.
- **Premium service cost base:** KMCH cannot respond like a low-cost operator because premium customers expect newer vehicles, safety, cleanliness, trained drivers and quick service recovery. Aggressive cost cutting could undermine the very features that justify premium pricing.
- **Working capital pressure:** If corporate customers dispute fuel surcharges or chauffeur overtime charges, receivable days may increase. The business may therefore face both lower margins and slower cash conversion.
- **Fleet economics:** Older vehicles are more exposed to spare-parts inflation and maintenance downtime. If maintenance is delayed to save cost, breakdowns and customer complaints may rise, damaging future demand.
- **Financing and capex constraints:** Higher benchmark rates increase borrowing costs and make fleet replacement, IT upgrades and expansion projects more difficult to fund. Management may need to reprioritise projects and protect liquidity.

Impact by customer segment

- **Premium corporate customers** may accept selective price increases if KMCH offers reliability, transparent billing, agreed service levels and accurate documentation. They are less price-sensitive than retail customers, but they will resist unexpected add-on charges and unclear invoicing.
- **Retail self-drive customers** are more price-sensitive and may compare KMCH with smaller rental operators or ride-hailing alternatives. A broad price increase could reduce utilisation, particularly for discretionary weekend and family use.
- **Tourist and family customers** may prefer bundled packages because they dislike uncertainty. Fuel-inclusive or limited-mileage packages may be attractive if designed transparently.
- **Chauffeur-driven and airport-transfer customers** may value reliability and punctuality, but longer airport waiting times and driver idling increase fuel cost. These services need clearer waiting-time and fuel surcharge rules.
- **Corporate leasing customers** may ask for fixed prices. KMCH should avoid long fixed-price contracts unless escalation clauses, minimum utilisation commitments and payment terms protect it from fuel and spare-parts inflation.

Impact on fleet operations and competitive position

- Fleet utilisation may fall if retail demand becomes price sensitive, while corporate utilisation may remain stable only if service reliability improves.
- Vehicle downtime may increase because depot managers may defer preventive maintenance to meet monthly cost targets. This is a false economy because breakdowns, replacements, complaints and safety incidents can cost more later.
- Driver behaviour becomes financially material. Idling, harsh acceleration, poor route planning and long waiting times directly increase fuel consumption.
- Smaller operators may compete on price, but KMCH should compete on reliability, transparency and safety rather than uncontrolled discounting.
- If KMCH manages the shock better than competitors, it can strengthen its premium position by being the provider that remains reliable when others cut standards.

Revised customer packages / value offering

KMCH should revise its customer packages but should not dilute the brand through an openly low-cost product. The better approach is to create controlled value options within a premium framework.

- Introduce limited-mileage packages for price-sensitive self-drive and family customers. This protects fuel exposure while giving customers a lower entry price.
- Offer off-peak / weekday packages to improve utilisation of idle vehicles without offering blanket discounts during peak periods.
- Introduce prepaid corporate bundles with defined mileage, waiting time and driver overtime rules. This gives corporate customers budget certainty while protecting KMCH against unlimited cost exposure.
- Separate fuel-inclusive and fuel-exclusive packages. Fuel-inclusive packages should include mileage limits and surcharge triggers; fuel-exclusive packages should be billed transparently.
- Use older but well-maintained vehicles only for selected lower-mileage packages, while preserving newer premium vehicles for airport, chauffeur and corporate customers.
- Avoid excessive manual add-on charges. Customers will accept price increases more readily if the rules are clear at booking stage.

Conclusion: KMCH should not respond through blanket price increases or indiscriminate cost cutting. It should adopt differentiated pricing, transparent customer packages, tighter fuel and maintenance controls, and a disciplined service-quality approach. The goal should be to protect margins without damaging the premium brand.

Question 1(b) - Financial performance analysis, pricing actions and depot-manager scorecard (14 marks)

Financial and KPI analysis

Measure	2025-26 actual	2026-27 latest forecast	Movement	Interpretation
Revenue	2,950	3,250	+300 / +10.2%	Revenue growth is positive, but is not converting into profit because costs are rising faster.
Fuel cost	472	666	+194 / +41.1%	Fuel cost is rising almost four times faster than revenue. This indicates margin pressure and possible weak fuel controls.
Repairs, maintenance and tyres	354	488	+134 / +37.9%	Maintenance pressure is significant and may reflect older vehicles, imported parts inflation and deferred preventive maintenance.
Insurance and registration	152	205	+53 / +34.9%	Insurance inflation adds to fixed/semi-fixed operating pressure.
EBIT	280	111	-169 / -60.4%	Operating profitability has fallen sharply despite revenue growth.
Finance cost	162	235	+73 / +45.1%	Higher rates are already reducing profit before tax and may worsen after the next KIBOR reset.
Profit before tax	118	(124)	-242	The business has moved from profit to loss before tax.

Ratio / KPI	2025-26 actual	2026-27 latest forecast	Calculation / movement	Interpretation
Fuel cost as % of revenue	16.0%	20.5%	472/2,950; 666/3,250	Fuel is consuming a materially higher share of revenue.
Repairs as % of revenue	12.0%	15.0%	354/2,950; 488/3,250	Maintenance inflation and downtime are eroding margin.
Insurance as % of revenue	5.2%	6.3%	152/2,950; 205/3,250	Insurance has become a more material operating cost.
EBIT margin	9.5%	3.4%	280/2,950; 111/3,250	Operating margin has collapsed.
Finance cost as % of revenue	5.5%	7.2%	162/2,950; 235/3,250	Financing burden is becoming more significant.
PBT margin	4.0%	(3.8%)	118/2,950; - 124/3,250	KMCH is forecast to become loss-making before tax.
Fleet utilisation	71%	66%	-5 percentage points	Higher costs are occurring while utilisation is falling. This is a dangerous combination.
Revenue per active vehicle	5.78	6.16	+6.6%	Price/revenue per vehicle increased, but not enough to offset cost inflation.
Customer satisfaction	84%	78%	-6 percentage points	Service quality is deteriorating, likely linked to older vehicles, disputes and

				availability delays.
Receivable days	42	56	+14 days / +33%	Cash conversion is weakening, especially due to billing disputes.
Breakdowns per 1,000 rentals	6.8	9.5	+39.7%	Breakdowns are rising, suggesting maintenance and fleet-age problems.

Overall interpretation

- The business is growing in revenue terms but deteriorating in profitability and service quality. This is a classic warning sign: higher prices are being absorbed by cost inflation and operational inefficiency.
- Fuel, repairs and insurance have all increased faster than revenue. This means the existing pricing structure is not sufficiently responsive to cost movements.
- Falling utilisation and declining customer satisfaction suggest that customers are beginning to feel the impact of price increases, service issues and billing disputes.
- The increase in receivable days is particularly concerning because it creates cash-flow pressure at the same time as finance costs and working capital requirements are rising.
- Depot managers appear to be judged heavily on monthly cost variances. This may encourage short-term behaviour such as delaying maintenance, which then increases breakdowns and customer complaints.

Recommended pricing and revenue-protection actions

- Introduce a formal fuel surcharge mechanism linked to a published fuel index or threshold. This is better than manual fuel-related add-on charges because it is transparent and easier for customers to accept.
- Renegotiate corporate contracts to include escalation clauses for fuel, driver overtime, airport waiting time, insurance and extraordinary cost increases.
- Use differentiated pricing by segment: corporate and airport-transfer customers should pay for reliability and service levels, while retail customers can be offered limited-mileage or off-peak packages.
- Introduce dynamic pricing for peak days, airport demand, special events and high-demand vehicle categories, but avoid discounts that undermine the premium brand.
- Set discount approval limits by customer segment and depot so that depot managers do not protect utilisation by cutting price below economic levels.
- Improve billing transparency. Waiting time, fuel surcharge, driver overtime and mileage rules should be built into contracts and booking confirmations rather than added manually later.

Recommended cost-control actions

- Require depot managers to review fuel-card exception reports weekly, not monthly, and explain unusual consumption by vehicle and driver.
- Monitor idling time, harsh acceleration, route deviations and airport waiting patterns through telematics.
- Strengthen preventive maintenance. Maintenance deferral should require senior approval where it relates to safety-critical or customer-facing vehicles.
- Create preferred supplier arrangements for tyres, filters, batteries and imported parts, with price-validity periods and quality requirements.
- Track cost per kilometre and maintenance cost per vehicle class, not only total depot cost.
- Separate controllable and uncontrollable costs in depot reports. Depot managers should not be penalised for external inflation outside their control.

Revised depot-manager performance scorecard

Perspective	Suggested KPIs	Reason
Financial	Revenue per active vehicle; gross margin by depot; fuel cost per km; maintenance cost per vehicle; receivable days for local corporate accounts.	Ensures depot managers protect both revenue and cost discipline.
Customer	Customer satisfaction / NPS; complaints per 1,000 rentals; billing disputes; service recovery turnaround.	Prevents cost cutting from damaging premium service quality.
Internal process	Fleet utilisation; vehicle downtime; breakdowns per 1,000 rentals; average repair turnaround; handover delays; fuel exception closure rate.	Focuses managers on operational reliability and process control.
Learning / people	Training completion; driver fuel-efficiency score; safety incidents; staff turnover; coaching sessions completed.	Builds long-term capability and discourages unsafe shortcuts.

Conclusion: KMCH should move from a cost-variance reporting pack to a balanced scorecard. In the current environment, depot managers should be held accountable for margin, utilisation, service quality, safety and staff capability together. A narrow cost-saving target would encourage the wrong behaviour.

Question 1(c) - Leadership style and management approach (8 marks)

Senior management should adopt a situational and balanced leadership approach. The situation requires urgency and discipline, but also staff engagement because frontline teams will implement pricing changes, fuel controls, maintenance discipline and customer communication.

- Directive leadership is needed for urgent risk areas: treasury limits, pricing authority, preventive maintenance rules, safety checks and fuel-control procedures. These areas cannot be left to informal depot-level discretion.
- Participative leadership is needed for operational improvements. Drivers, depot staff and maintenance teams understand practical causes of fuel wastage, downtime and customer complaints. Their input can identify realistic cost savings without harming service quality.
- Transformational leadership is needed to maintain morale and confidence. Management should explain why the business is changing, how the premium brand will be protected and how employees can contribute to recovery.
- Coaching leadership should be used for depot managers who are under conflicting pressure. They need support in balancing cost control, safety, utilisation, customer service and staff morale.
- The tone from the top should make clear that cost control must not override safety, accurate reporting or ethical customer treatment. Delaying maintenance or hiding defects is unacceptable.
- Management should set controllable targets. Staff should not be blamed for market fuel prices or interest rates, but should be held accountable for fuel wastage, late exception reviews and avoidable customer complaints.
- Communication should be frequent and honest. Employees need to understand price changes and customer-package changes so they can explain them confidently to customers.
- Recognition should include non-financial behaviours such as service recovery, safe driving, fuel-efficient driving, accurate reporting and customer complaint resolution.

Conclusion: A purely autocratic cost-cutting approach would damage morale and service quality. A purely consultative approach may be too slow for a crisis. KMCH should therefore use directive leadership for urgent controls, participative leadership for operational solutions, and transformational leadership to maintain commitment to the premium brand.

Question 2(a) - Interest-rate risk and hedging calculations (16 marks)

KMCH has Rs 1,200 million of floating-rate borrowings repricing for the next six-month period. The interest rate is six-month KIBOR plus a fixed bank margin of 2.50% per annum. The key risk is that further KIBOR increases will increase finance cost and weaken the already poor interest cover.

Working 1 - Unhedged interest cost

Scenario	Probability	KIBOR	Bank margin	Total annual borrowing rate	Six-month interest cost	Benchmark component	Margin component
Low rate case	20%	12.00%	2.50%	14.50%	87.0	72.0	15.0
Central case	50%	14.00%	2.50%	16.50%	99.0	84.0	15.0
High rate case	30%	16.00%	2.50%	18.50%	111.0	96.0	15.0

Expected unhedged six-month interest cost = (20% x Rs 87.0m) + (50% x Rs 99.0m) + (30% x Rs 111.0m) = Rs 100.2m.

The fixed bank margin is Rs 15.0m for the six-month period in all scenarios (Rs 1,200m x 2.50% x 6/12). The variable exposure is the KIBOR component.

Working 2 - FRA hedge

The FRA locks KIBOR at 14.75%. For simplicity, discounting of the FRA settlement is ignored. The bank margin of 2.50% remains payable separately. Therefore, the effective annual borrowing rate becomes 17.25% (14.75% + 2.50%), and the six-month cost is Rs 103.5m.

Scenario	Actual KIBOR	Loan interest before FRA	FRA settlement	Net cost after FRA	Explanation
Low rate case	12.00%	87.0	Pay 16.5	103.5	KMCH pays because actual KIBOR is below the locked rate.
Central case	14.00%	99.0	Pay 4.5	103.5	KMCH pays the difference between 14.75% and 14.00%.
High rate case	16.00%	111.0	Receive 7.5	103.5	KMCH receives because actual KIBOR is above the locked rate.

FRA settlement = (14.75% - actual KIBOR) x Rs 1,200m x 6/12. A positive figure is a payment by KMCH; a negative figure is a receipt by KMCH.

Working 3 - Interest-rate futures hedge

KMCH would sell futures to hedge against rising interest rates. A fall in futures price creates a gain on the short futures position; a rise in futures price creates a loss. Each 1.00 price movement is worth Rs 6.0m for the proposed hedge size.

Scenario	Actual KIBOR	Expected futures price at reset	Movement from 85.25	Gain / (loss) on sold futures	Loan interest	Net cost after futures
Low rate case	12.00%	88.00	+2.75	(16.5)	87.0	103.5
Central case	14.00%	86.00	+0.75	(4.5)	99.0	103.5
High rate case	16.00%	84.00	(1.25)	7.5	111.0	103.5

In these simplified data, the futures hedge produces the same net cost as the FRA. In practice, futures may involve basis risk, margin requirements and operational complexity, so they may be less suitable for KMCH unless the treasury team has sufficient expertise and controls.

Working 4 - Interest-rate cap

The cap strike is 15.00% KIBOR. The premium of Rs 5.0m is payable immediately. The cap pays only if KIBOR exceeds 15.00%. PV loss on premium is ignored for simplicity.

Scenario	Actual KIBOR	Loan interest	Cap payoff	Premium	Net cost with cap	Interpretation
Low rate case	12.00%	87.0	-	5.0	92.0	KMCH benefits from low rates but pays the premium.
Central case	14.00%	99.0	-	5.0	104.0	No payoff because KIBOR is below the cap strike.
High rate case	16.00%	111.0	6.0	5.0	110.0	Cap reduces the high-rate cost but does not fully fix it.

Cap payoff at 16% = $(16.00\% - 15.00\%) \times \text{Rs } 1,200\text{m} \times 6/12 = \text{Rs } 6.0\text{m}$.

Working 5 - Interest-rate collar

The collar has no upfront premium. KMCH is protected above a 15.50% KIBOR cap but may have to pay if KIBOR falls below the 11.50% floor. In the three scenarios given, KIBOR does not fall below the floor.

Scenario	Actual KIBOR	Loan interest	Cap receipt	Floor payment	Net cost with collar	Interpretation
Low rate case	12.00%	87.0	-	-	87.0	No floor payment because KIBOR is above 11.50%.
Central case	14.00%	99.0	-	-	99.0	No settlement.
High rate case	16.00%	111.0	3.0	-	108.0	Partial protection above 15.50%.

Collar cap receipt at 16% = $(16.00\% - 15.50\%) \times \text{Rs } 1,200\text{m} \times 6/12 = \text{Rs } 3.0\text{m}$.

Working 6 - Summary of expected costs

Alternative	Cost at 12% KIBOR	Cost at 14% KIBOR	Cost at 16% KIBOR	Expected cost	Risk profile
Unhedged	87.0	99.0	111.0	100.2	Cheapest if rates stay low, but exposes KMCH to further increases.
FRA	103.5	103.5	103.5	103.5	Full certainty but KMCH gives up benefit of lower rates.
Futures	103.5	103.5	103.5	103.5	Similar economic result here, but basis/margin risk may exist.
Cap	92.0	104.0	110.0	103.4	Provides upside participation but premium is payable.
Collar	87.0	99.0	108.0	99.3	Cheaper and gives partial protection, but floor creates downside obligation if rates fall below 11.50%.

Interest cover impact

The 2026 forecast EBIT is Rs 111m and forecast finance cost is already Rs 235m before any further increase after July 2026. If the six-month borrowing cost rises relative to the current 12% KIBOR case, the additional finance cost would weaken interest cover further.

KIBOR scenario	Six-month cost	Increase over 12% case	Estimated total finance cost	Interest cover (EBIT / finance cost)
12%	87.0	-	235.0	0.47x
14%	99.0	12.0	247.0	0.45x
16%	111.0	24.0	259.0	0.43x

Evaluation and recommendation

- Remaining unhedged gives the lowest cost if rates remain at 12%, but this is risky because KMCH is already loss-making before tax and interest cover is weak.
- The FRA provides certainty at Rs 103.5m. It is simple and suitable for a committed six-month borrowing exposure, but it is not flexible if rates fall.
- Futures produce a similar result in the simplified data, but they may be less suitable because they require treasury expertise, margin management and monitoring of basis risk.
- The cap is useful where KMCH wants protection against high rates while retaining upside if rates fall. However, the Rs 5m premium means it is not the cheapest alternative in the central case.
- The collar has the lowest expected cost in the given scenarios and gives partial protection in the high-rate case without upfront premium. However, the floor exposes KMCH if rates fall below 11.50%.
- Hedging should be for risk management, not speculation. The Board should approve a treasury policy covering permitted instruments, hedge ratios, approval limits, counterparty limits and reporting requirements.

Conclusion: For a company under liquidity and covenant pressure, KMCH should hedge at least part of the committed exposure. A collar may be preferable to a full FRA if the Board wants some protection while retaining flexibility. If certainty is the overriding objective, the FRA is simpler and may be used.

Question 2(b) - Replacement cycle using Equivalent Annual Cost (8 marks)

The decision is whether high-usage vehicles should be replaced after three years or four years. Since the alternatives have different lives, the appropriate method is Equivalent Annual Cost (EAC), not simple NPV. The cycle with the lower EAC is financially preferable, subject to qualitative considerations.

Working 1 - Present value of costs under three-year cycle

Rs million per vehicle	Year 0	Year 1	Year 2	Year 3
Purchase price	11.20	-	-	-
Maintenance and downtime cost	-	0.85	1.25	1.85
Fuel inefficiency cost	-	0.10	0.25	0.45
Resale value	-	-	-	(5.20)
Net cash flow	11.20	0.95	1.50	(2.90)
Discount factor at 15%	1.000	0.870	0.756	0.658
Present value	11.20	0.83	1.13	(1.91)

PV of three-year cycle = Rs 11.20m + Rs 0.83m + Rs 1.13m - Rs 1.91m = Rs 11.25m.

Three-year annuity factor at 15% = 2.283. EAC = Rs 11.25m / 2.283 = Rs 4.93m per year.

Working 2 - Present value of costs under four-year cycle

Rs million per vehicle	Year 0	Year 1	Year 2	Year 3	Year 4
Purchase price	11.20	-	-	-	-
Maintenance and downtime cost	-	0.85	1.25	1.85	2.75
Fuel inefficiency cost	-	0.10	0.25	0.45	0.75
Resale value	-	-	-	-	(3.40)
Net cash flow	11.20	0.95	1.50	2.30	0.10
Discount factor at 15%	1.000	0.870	0.756	0.658	0.572
Present value	11.20	0.83	1.13	1.51	0.06

PV of four-year cycle = Rs 11.20m + Rs 0.83m + Rs 1.13m + Rs 1.51m + Rs 0.06m = Rs 14.73m.

Four-year annuity factor at 15% = 2.855. EAC = Rs 14.73m / 2.855 = Rs 5.16m per year.

Comparison and recommendation

Replacement cycle	PV of costs	Annuity factor	Equivalent annual cost	Financial ranking
Three-year cycle	11.25	2.283	4.93	Lower cost - preferred
Four-year cycle	14.73	2.855	5.16	Higher cost

The three-year cycle has a lower EAC by approximately Rs 0.23m per vehicle per year. On purely financial grounds, KMCH should adopt a three-year replacement cycle for this high-usage vehicle category.

Qualitative considerations

- The three-year cycle is consistent with premium chauffeur and airport-transfer expectations because customers are more sensitive to vehicle condition and comfort in this segment.
- The fourth year appears expensive because maintenance, downtime and fuel inefficiency increase materially while resale value falls to Rs 3.40m.
- Shortening the cycle may reduce breakdowns, customer complaints and emergency substitutions, which are not fully captured in the EAC table.

- The downside is cash-flow pressure: replacing earlier requires more frequent capital outlay at a time of high interest rates. The change should therefore be applied first to high-usage and customer-facing vehicles, not the entire fleet.
- If older vehicles can be redeployed to lower-mileage self-drive use without damaging the brand, the economics may improve further. However, redeployment should depend on condition, safety and customer segment.

Conclusion: KMCH should adopt a three-year replacement cycle for high-usage chauffeur / airport-transfer vehicles, while retaining a longer cycle for lower-usage vehicles where maintenance, downtime and brand risks are lower.

Question 2(c) - Capital rationing and reprioritisation (12 marks)

Only Rs 700m of capital can be committed immediately. The projects should be assessed first using profitability index because capital is constrained, and then adjusted for qualitative factors such as strategic necessity, implementation capacity, risk and service continuity.

Working 1 - Profitability index ranking

Project	Investment required	Expected NPV	Profitability index (NPV / investment)	Comments
A - IT platform upgrade	260	145	0.558	Highest PI; supports dynamic pricing, telematics, Board reporting and controls.
B - Islamabad depot	420	120	0.286	Positive NPV but high capital, demand and cost uncertainty.
C - Accelerated replacement	300	105	0.350	Scalable; minimum phase Rs 150m. Supports reliability and premium service.
D - EV / hybrid pilot	520	155	0.298	Highest absolute NPV, but high capital and implementation complexity.
E - Franchise rollout preparation	160	70	0.438	Low capital, supports growth without heavy fleet investment.
F - Depot restructuring / virtual depot pilot	190	88	0.463	Reduces fixed cost and supports coverage if controls work.

Ranking by PI: A (0.558), F (0.463), E (0.438), C (0.350), D (0.298), B (0.286).

Working 2 - Project selection under Rs 700m limit

Selected project	Investment	NPV	Reason
A - IT platform upgrade	260	145	Highest PI and strategically important for pricing, telematics, fuel monitoring and Board reporting.
F - Depot restructuring / virtual depot pilot	190	88	High PI; reduces fixed cost and fits the crisis response.
E - Franchise rollout preparation	160	70	Low-capital growth option; helps avoid immediate heavy capex.
Total selected	610	303	Leaves Rs 90m uncommitted as liquidity buffer.

This combination gives an NPV of Rs 303m within Rs 610m of capital. It is financially superior to combinations such as A + B (investment Rs 680m, NPV Rs 265m) or D + E (investment Rs 680m, NPV Rs 225m).

Treatment of accelerated replacement project

Project C is scalable with a minimum practical first phase of Rs 150m. If the Board is concerned about safety, breakdowns and premium service, it may choose to include the first phase of C by deferring project E. For example, A + F + first phase of C would require Rs 600m and generate approximately Rs 285.5m NPV (A Rs 145m + F Rs 88m + half of C Rs 52.5m). This is slightly lower financially than A + F + E, but may be better if immediate fleet reliability is considered more critical than franchise preparation.

In addition, if C is perfectly scalable between 50% and 100%, an amount of 250m may be invested in C, after investing amounts in Project A and F. This would lead to 83% of Project C being executed and can lead to 83% OF the NPV being realized. The resultant overall NPV against an Investment of 700m would be 320m (145+88+83% of 105). This is the highest NPV of any combination.

Qualitative evaluation

- IT platform upgrade should be prioritised because it enables several other responses: dynamic pricing, telematics, fuel exception reporting, Board dashboards and customer billing transparency.
- Depot restructuring / virtual depot pilot is attractive in a high-cost environment because it can reduce fixed depot costs and improve coverage without heavy capex.
- Franchise preparation is low-capital and can support growth while avoiding immediate fleet investment. However, it should not be rushed if service standards and platform controls are not ready.
- The Islamabad depot should be deferred despite a positive NPV because it requires high capital, management attention and additional fleet during an uncertain cost environment.
- The EV / hybrid pilot has the highest absolute NPV but consumes Rs 520m and requires charging and specialist training. It may be better deferred until liquidity improves unless strategic corporate ESG demand is confirmed.
- Accelerated replacement should not be ignored. Even if not selected fully, the Board may approve a targeted first phase for safety-critical, high-usage vehicles.

Recommendation: The Board may therefore approve:

1. Projects A, F and E as the main financially ranked package and keep Rs 90m as a liquidity buffer; or
2. 83% of Project C together with Project A and F, however there would be no liquidity buffer left in this case; or
3. 50% of Project C together with Project A and F and keep the remaining amount as a liquidity buffer.

Options 2 and 3 can be chosen to protect reliability of service.

Question 3(a) - Governance actions during macroeconomic crisis (10 marks)

KMCH is an unlisted company, therefore the listed-company Code of Corporate Governance is not mandatory. However, the Board should still apply sound governance principles because the macroeconomic shock affects strategy, liquidity, borrowing, treasury risk, pricing decisions, employee conduct, customer trust and lender confidence.

Active Board oversight: The Board should not run day-to-day operations, but it should actively challenge management on the effect of fuel inflation, interest-rate increases, supplier disruption, falling margins and customer behaviour. It should approve revised strategic priorities and decide which projects should proceed, be deferred or be subject to further validation.

Risk management framework: The risk register should be updated for fuel-price risk, KIBOR / finance-cost risk, supplier and spare-parts risk, maintenance deferral risk, receivable delay risk, customer churn, covenant pressure, staff morale and reputational risk. Each major risk should have an owner, mitigation plan, trigger level and reporting frequency.

Forecasting and stress testing: Management should provide revised forecasts under base, downside and severe downside scenarios. These should include fuel cost, utilisation, rental rates, receivable days, interest rates, finance cost, covenant headroom, capex commitments and minimum cash buffer.

Treasury governance: Hedging should be governed by a Board-approved treasury policy. The policy should define permitted instruments, hedge purpose, notional limits, approval authority, counterparty limits, documentation requirements and a clear prohibition on speculative positions.

Internal controls: The Board should require strengthened controls over fuel cards, vehicle usage, repairs, maintenance approvals, emergency procurement, vendor selection, pricing overrides, discounts and customer billing disputes. Cost pressure should not lead to weak controls or informal approvals.

Board committees and assurance: The audit committee should review forecast reliability, internal controls, financial reporting and the internal audit response. If there is no separate risk committee, the Board should assign responsibility for treasury, supplier, fuel and continuity risks to an existing committee or specific Board agenda.

Management information: Board packs should include forward-looking indicators rather than only historical profit. These should cover fuel cost per km, utilisation, downtime, breakdowns, customer complaints, receivable days, interest cover, hedge position, project commitments and liquidity headroom.

Authority limits and documentation: The Board should set clear authority limits for price changes, fuel surcharges, supplier contracts, emergency procurement, borrowing, hedging and project commitments. Minutes should show that directors challenged assumptions and considered alternatives before approving actions.

Stakeholder and ethical oversight: The Board should ensure fair communication with corporate customers, lenders, employees and suppliers. It should also make clear that margin pressure does not justify unsafe maintenance deferral, inaccurate reporting, unfair billing or misrepresentation to customers.

Conclusion: KMCH should treat the current environment as a governance and risk-management challenge, not only as an operating-cost issue. Strong Board oversight, stress testing, treasury discipline, internal controls and balanced reporting will help protect liquidity, service quality and long-term value.

Question 3(b) - Crisis management, communication and business continuity plan (10 marks)

KMCH should establish a structured crisis-management approach because the shock affects customers, staff, suppliers, lenders, pricing, service continuity and cash flows at the same time.

Crisis management structure

- Establish a temporary crisis response group with finance, operations, treasury, HR, customer service, legal and IT representation.
- Define authority levels clearly so the group does not become an unaccountable extra management layer. Urgent issues should be escalated to the CEO / Board according to monetary and risk thresholds.
- Maintain a live crisis dashboard covering fuel availability, maintenance backlog, breakdowns, customer complaints, receivables, cash, supplier issues and interest-rate exposure.
- Use scenario planning for further fuel increases, interest-rate increases, supplier shortages, covenant pressure and demand decline.

Communication plan

- Customers: Communicate fuel surcharges, mileage rules, waiting-time charges and package terms clearly at booking stage. Avoid unexpected manual charges after service delivery.
- Corporate clients: Renegotiate contracts professionally, using transparent cost data and escalation formulas rather than ad hoc price increases.
- Lenders: Engage early if interest cover or liquidity could deteriorate. Provide forecasts, mitigation plans and capital prioritisation actions.
- Suppliers: Negotiate price-validity periods, payment terms and priority supply arrangements for tyres, batteries and key parts.
- Employees: Explain the business situation honestly and clarify that safety, ethics and customer service remain non-negotiable despite cost pressure.
- Public / social media: Prepare standard responses for price complaints, delays and service issues to protect brand reputation.

Business continuity actions

- Maintain minimum fuel and spare-parts availability for critical corporate and airport-transfer services.
- Identify alternate suppliers for tyres, filters, batteries, fuel and maintenance support.
- Prioritise preventive maintenance for high-usage and customer-facing vehicles.
- Set a minimum liquidity buffer and defer non-essential capex until funding and demand are clearer.
- Ensure IT systems can support revised pricing, surcharge rules and transparent billing.
- Create an escalation process for vehicle shortages, customer complaints, supplier failures and safety incidents.

Conclusion: The crisis plan should protect service continuity and brand trust while allowing management to act quickly. The plan should have clear owners, thresholds, communication protocols and Board reporting.

Question 3(c) - Employee motivation, reward, training and learning development framework (8 marks)

Staff morale is likely to be under pressure because employees are facing higher customer complaints, stricter cost targets, possible price disputes and operational stress. KMCH should therefore redesign its motivation and learning framework so that employees control costs without compromising safety, ethics or customer service.

Balanced and controllable KPIs: Rewards should not be based only on cost savings. Depot managers, drivers and frontline teams should be assessed on measures they can influence, such as fuel-efficiency score, timely review of fuel exceptions, vehicle availability, customer satisfaction, complaint resolution, safety-check completion, breakdown reduction and training completion.

Avoid unsafe cost-cutting: KMCH should include safety and ethics gatekeepers. No bonus should be paid where a depot delays safety-critical maintenance, under-reports defects, manipulates fuel or telematics data, uses poor-quality spare parts, or treats customers unfairly. This prevents employees from meeting cost targets in a way that damages the brand.

Fairness during inflation: Management should distinguish between controllable and uncontrollable costs. Employees should not be penalised for external fuel inflation or interest-rate movements, but they should be accountable for avoidable wastage, poor route discipline, excessive idling, delayed maintenance reporting and weak service recovery.

Reward design: Cash bonuses may be constrained during the crisis, so KMCH should use a mix of financial and non-financial recognition. Examples include team recognition, certificates, priority leave scheduling, career progression points, public appreciation, service-excellence awards and small spot awards for practical cost-saving ideas.

Training and learning development: KMCH should provide fuel-efficient driving training, route-planning training, refresher training on vehicle inspection and safety checks, customer communication training for fuel surcharges / price increases, and service-recovery training for handling complaints professionally.

Depot manager capability: Depot managers should receive coaching on balanced decision-making, interpreting KPI dashboards, managing difficult customer discussions, motivating teams under pressure and identifying cost savings without deferring critical maintenance.

Employee involvement and speak-up culture: Frontline staff should be encouraged to suggest practical efficiency ideas because they understand day-to-day fuel wastage, repair delays and customer pain points. KMCH should also maintain a speak-up channel for reporting unsafe shortcuts, false fuel claims, poor vendor behaviour or pressure to misstate data.

Link with learning and career development: Training completion and improved safety / service performance should be linked to career progression. This shows employees that cost control is not merely a short-term cutback exercise but part of professionalising KMCH's operations.

Conclusion: The reward framework should support the behaviours KMCH needs during the crisis: fuel discipline, safe operations, honest reporting, customer care, learning and continuous improvement. Aggressive cost targets alone would risk poor service, unsafe maintenance and staff disengagement.